PT Nirwana Bhumi Energy

ACCOUNTING, FINANCIAL AND TAX POLICIES

Approved By	:	Bima Satryo Hartanto (President Director / CEO)
Verified By	:	Dennis Raditya (Director of Operations & Technology / CTO)
Created By	:	Abdul Qodir Al Jailani (Commissioner / IMS Team Lead)

REVISION INDEX

Revision	Date	Description of Changes	Revised By
0	September 2026	Initial Issue - Standard CSMS Procedure for PT Nirwana Bhumi Energy (0002-POL-FNC-CFO-IX-2026)	IMS & HSE Team

TABLE OF CONTENTS

1.0 OBJECTIVE
2.0 SCOPE
3.0 DEFINITIONS & ABBREVIATIONS
4.0 RESPONSIBILITIES
5.0 PROCEDURE STEPS
6.0 PERFORMANCE INDICATORS & AUDIT
7.0 REFERENCED DOCUMENTS
8.0 ATTACHMENTS & ASSOCIATED FORMS

1.0 OBJECTIVE

The objective of this Corporate Policy is to establish a standardized, transparent, and legally compliant framework governing the organizational structure, financial authority, operational workflows, accounting practices, and tax compliance across the Finance Division of PT Nirwana Bhumi Energy.

Specifically, this policy mandates and guarantees that:

- A systematic framework is enforced for cash flow governance, tax strategy, capital expenditure authorization, margin calculation, and prompt client invoicing.
- The organizational hierarchy of the Finance Division—led by the Chief Financial Officer (CFO)—is formalized with defined reporting lines overseeing the Senior Tax Accountant (ApU), Finance Secretary (Fds), Purchasing Team (PTm), and Internal Auditor (IAd).
- Inter-divisional communication channels and approval boundaries are established between the Finance Division, the Technical Division (CTO), and the Operations Division (COO).
- All transactions are documented in full accordance with Indonesian Financial Accounting Standards (PSAK) converging with IFRS, and all statutory tax obligations are fulfilled punctually via the national Coretax system.

2.0 SCOPE

This policy applies to all financial management activities, personnel, commercial transactions, and asset holdings across all corporate divisions, operating units, fabrication yards, and project sites of PT Nirwana Bhumi Energy.

The policy governs the financial recording and reporting for all 9 (nine) core business sectors operated by PT Nirwana Bhumi Energy:

No	Business Sector	Operational Scope & Financial Treatment
1	**Wholesale Trade of Industrial Goods, Machinery & Materials**	Procurement, B2B distribution, and commercial trading of components, plant equipment, and project consumables supporting heavy industries.
2	**Trade of Mining Materials & Mineral Products**	Commercial distribution of extractive commodities subject to specialized tax withholding and non-tax state revenue (PNBP) reporting.
3	**Trade of Crude Palm Oil (CPO) & Derivatives**	Domestic and export commercial sales of crude palm oil, olein, and allied agricultural commodities requiring strict commodity contract tracking.
4	**Processing of CPO & Vegetable Oil Refining**	Industrial manufacturing converting raw palm feedstock into processed derivatives, requiring rigorous Cost of Goods Manufactured (COGM) allocation.

5	**Engineering Services & Technical Consultancy**	Delivery of high-precision design, EPC consultancy, and technical advisory with revenue recognized based on service delivery milestones.
6	**Installation, Maintenance & Equipment Overhaul**	Field mechanical, electrical, and rotating equipment integration, commissioning, and preventive servicing recognized upon client sign-off.
7	**Special Construction, Scaffolding & Civil Works**	Infrastructure development, structural erection, certified scaffolding, and mechanical fabrication subject to specialized construction tax rates (PPh Final).
8	**Leasing of Heavy Machinery & Industrial Plant**	Operating lease arrangements for construction equipment and specialized machinery recorded under PSAK/IFRS lease accounting rules.
9	**Integrated EPC Development & Project Execution**	Large-scale turnkey Engineering, Procurement, and Construction contracts governed by percentage-of-completion revenue recognition.

3.0 DEFINITIONS & ABBREVIATIONS

PSAK / IFRS: Indonesian Financial Accounting Standards (Pernyataan Standar Akuntansi Keuangan) converging with International Financial Reporting Standards.

Accrual Basis: Accounting methodology recognizing revenues when earned and expenses when incurred, regardless of cash receipt or disbursement.

Straight-Line Depreciation: Depreciation method allocating uniform expense annually over an asset's useful economic life: (Acquisition Cost - Residual Value) / Useful Life.

Coretax System: The official integrated digital tax administration system deployed by the Directorate General of Taxes (DJP) of Indonesia for all periodic and annual returns.

SPT Masa & SPT Tahunan: Periodic (monthly) tax returns and annual corporate tax returns mandated by Indonesian tax legislation.

CFO (Chief Financial Officer): Executive director bearing corporate responsibility for financial strategy, accounting veracity, and tax integrity.

ApU (Senior Tax Accountant): Lead specialist executing corporate tax strategy, pricing formulations, statutory returns, and financial audits.

Fds (Finance Secretary): Administrative lead managing billing, invoice issuance, document registers, and transaction filing archives.

PTm (Purchasing Team): Procurement authority negotiating supplier agreements, executing purchase orders, and handling warranty claims.

IAd (Internal Auditor): Independent evaluation lead monitoring compliance, investigating fraud/irregularities, and verifying financial controls.

4.0 RESPONSIBILITIES & DIVISIONAL GOVERNANCE

The Finance Division operates under the direct leadership of the Chief Financial Officer (CFO), with clear separation of duties to enforce internal controls:

Chief Financial Officer (CFO): Maintains executive accountability for fiscal solvency, authorizes corporate budgets, approves major contracts, signs official financial statements, and oversees strategic tax planning.

Senior Tax Accountant (ApU): Calculates corporate tax obligations, implements tax optimization strategies, submits SPT Masa and SPT Tahunan, calculates initial project pricing (FORM-FNC-001), and verifies forwarder customs bookings.

Secretary to the Finance Division (Fds): Administers invoice generation, distributes billing packages to clients, archives vendor receipts and financial forms, coordinates payment schedules, and tracks internal document transmittals.

Purchasing Team (PTm): Issues formal Purchase Orders (PO), evaluates supplier quotes, negotiates commercial terms, ensures prompt material logistics, and manages vendor dispute resolutions.

Internal Auditor (IAd): Executes independent audits of financial workflows, investigates discrepancies or fraud risks, reviews internal control effectiveness, and reports findings directly to executive management.

Inter-Divisional Interfaces: Collaborates continuously with the CTO (technical specifications, asset commissioning) and COO (field site logistics, project progress sign-offs) to validate operational billings.

5.0 PROCEDURE STEPS & POLICY DIRECTIVES

5.1 Core Accounting Principles Across the 9 Sectors

Financial transactions across PT Nirwana Bhumi Energy shall strictly adhere to four fundamental accounting principles:

- Revenue Recognition Principle: For EPC, engineering services, and construction works, revenue is recognized on the percentage-of-completion basis or upon verified milestone handovers, rather than cash collection.
- Matching Principle: In CPO manufacturing and EPC projects, all direct material costs, labor expenses, and manufacturing overheads must be recognized in the identical accounting period as the associated revenue.
- Historical Cost Principle: Machinery, lease plant, and commercial inventories are initially capitalized at total landed acquisition cost (CIF: Cost, Insurance, and Freight) until commissioning.
- Consistency Principle: Selected accounting methodologies (including depreciation schedules and inventory valuation) must be consistently applied across successive financial periods.

5.2 Tangible Fixed Asset Depreciation Policy

All tangible fixed assets owned by PT Nirwana Bhumi Energy are systematically depreciated using the Straight-Line Method, allocating costs evenly across their designated economic useful life:

Annual Depreciation Expense = (Acquisition Cost - Residual Value) / Useful Economic Life (Years)

Asset classifications, useful lives, and salvage thresholds must be reviewed annually by the CFO in consultation with external auditors.

5.3 Monthly Bookkeeping Closure & Adjusting Entries

The Finance Division enforces a strict monthly cutoff protocol:

- Period Lockdown: General ledgers are officially closed and locked on the final calendar day of each month. No retrospective modifications are permitted without written CFO approval.
- Mandatory Adjustments: Adjusting entries are posted prior to closure to record accrued revenues/expenses, deferred charges, fixed asset depreciation, and project WIP valuations.

5.4 Sequential Accounting Reporting Flow

Every financial transaction progresses through an 11-step accounting cycle:

Step	Process Stage	Key Activities & Documentation
1	**Financial Activity Occurrence**	Commercial transaction initiated across sales, procurement, manufacturing, or service delivery.
2	**Source Document Verification**	Receipt, commercial invoice, Purchase Order, delivery note, or SOP form verified for legitimacy and completeness.
3	**General Journal Entry**	Chronological recording of debit and credit entries with authorized account coding.
4	**General Ledger Posting**	Posting journalized figures into dedicated subsidiary and general ledger accounts.
5	**Adjusting Journal Entries**	Month-end adjustments for accruals, prepayments, depreciation, and foreign exchange variances.
6	**Post-Adjustment Ledger Posting**	Updating ledger accounts reflecting all month-end accruals and adjusting entries.
7	**Worksheet Formulation**	Compilation of unadjusted trial balance, adjustments, and adjusted trial balance worksheets.

8	**Financial Statements Package**	Generation of Balance Sheet, Income Statement, Statement of Changes in Equity, Cash Flow Statement, and Notes.
9	**Correction Journals**	Rectification of discovered misclassifications via formal correction vouchers.
10	**Closing Journal Entries**	Closing temporary nominal accounts (revenues and expenses) into retained earnings.
11	**Reversing Journal Entries**	Optional reversal of specific accrued adjustments on the first business day of the subsequent period.

5.5 Tax Compliance and Customs Governance

Tax filings and customs clearance must conform strictly to statutory timelines:

- Periodic Tax Returns (SPT Masa): Monthly Value Added Tax (PPN), Employee Income Tax (PPh 21), Corporate Withholding Taxes (PPh 23, PPh 4(2), PPh 22) are reported punctually via the Coretax digital portal.
- Annual Corporate Tax Return (SPT Tahunan Badan): Completed, audited, and submitted via Coretax no later than April 30 of the following tax year.
- Customs and Forwarding Protocol: Import and export clearance activities are delegated to licensed freight forwarders evaluated for cost efficiency and regulatory standing. The Senior Tax Accountant (ApU) is required to authorize customs service bookings prior to transaction settlement.

6.0 PERFORMANCE INDICATORS & FINANCIAL AUDIT

Financial management performance shall be measured against the following key indicators:

- 100% adherence to the monthly financial closing schedule by the 5th business day of each month.
- Zero administrative tax penalties, late fees, or interest charges resulting from non-compliant or delayed filings.
- 100% reconciliation between physical inventory/asset counts and general ledger balances during semi-annual audits.
- Zero critical audit non-conformances identified during internal or external financial inspections.

7.0 REFERENCED DOCUMENTS

Indonesian Financial Accounting Standards (PSAK / SAK) & IFRS Framework

Law of the Republic of Indonesia No. 7 of 2021 regarding Harmonization of Tax Regulations (UU HPP)

Directorate General of Taxes (DJP) Regulations on the Implementation of the Coretax Administration System

Minister of Finance Regulations regarding Customs Clearance and International Freight Forwarding

0001-SOP-GNR-CEO-IX-2026: Document and Records Control Procedure

0008-SOP-IMS-CEO-X-2026: Internal Audit Procedure

8.0 ATTACHMENTS & ASSOCIATED FORMS

FORM-FNC-001: Initial Pricing Formulation Form

Monthly Financial Statement and Reconciliation Package

Fixed Asset Depreciation and Useful Life Schedule

Tax Withholding and Coretax Reporting Verification Register

Customs Clearance and Freight Forwarder Booking Authorization Form